ALBERTA'S SQUANDERED WEALTH AND ITS MOST VULNERABLE CITIZENS

A Collaborative Analysis of Heritage Fund Mismanagement and the AISH/ADAP Transition

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This document synthesizes two independent analyses — one built by Gavin Sorochan from financial modelling of what Alberta could have achieved with disciplined sovereign fund governance, one built by Shibanima Chantal Knibbs from the government's own published figures documenting what it actually did. Each contributor's work is attributed by name throughout. Together they make a single argument: the dismantling of AISH income supports is not a fiscal necessity. It is a political choice made in the presence of enormous documented wealth.

SECTION 1 — THE ARGUMENT IN TWO VOICES

GAVIN SOROCHAN — What Alberta Could Have Built (Financial Modelling)	SHIBANIMA KNIBBS — What the Government Actually Did (Government Data)
Under a disciplined sovereign fund model — consistent with Norway's approach — Alberta could command a fund of $300 billion or more today, generating $9 billion or more annually at a 3% draw rate.	The Heritage Fund stands at $31.9 billion — generating approximately $957 million at 3%. In four consecutive surplus years (2021-25), $5.6 billion was saved while AISH was cut, de-indexed, and clawed back.
At conservative projections, AISH ($1.641 billion) would consume less than 18% of the annual yield of a properly capitalized sovereign fund. It would not register as a fiscal challenge.	AISH costs $1.641 billion — 2.3% of the provincial budget. The Heritage Fund grew $383 million in a single quarter of 2025-26. The total three-year AISH cut ($77 million) is 20% of one quarter's fund growth.

SHARED CONCLUSION: Alberta is not a province that cannot afford to support 79,000 severely disabled residents. It is a province that has chosen not to — while accumulating documented wealth. The AISH-to-ADAP transition is not fiscal necessity. It is fiscal priority.

SECTION 2 — THE NUMBERS: MODELLED POTENTIAL VS. DOCUMENTED REALITY

Gavin Sorochan — Financial modelling based on comparable sovereign fund governance (Norway, Alaska). Figures represent projected outcomes under sustained fiscal discipline.

Shibanima Knibbs — Government of Alberta official publications, Budget 2025, Heritage Fund Q3 2025-26 Report, and verified independent sources.

Item	Gavin Sorochan — Modelled Potential	Shibanima Knibbs — Documented Reality
Heritage Fund size	$300–600B under disciplined model (low end most defensible)	$31.9 billion (Gov. of Alberta, Dec 31, 2025)
Annual fund yield at 3%	$9–18 billion	~$957 million
Capacity to fund AISH	Less than 18% of annual yield at low end	Actual yield is LESS than total AISH cost
Total resource revenues (1970s–present)	$300–400 billion generated	$315+ billion confirmed (factsmtr, 2025)
Share actually saved	Should have been 40–60%	Less than 4% actually saved (Fraser Institute)
Norway comparison	$300B+ achievable — Norway proves it	$2.23 trillion USD — Norway's actual 2025 fund
AISH program cost	$1.641B — fraction of fundable capacity	$1.641B — 2.3% of provincial budget
AISH recipients	~79,000 Albertans	79,290 (Gov. of Alberta, September 2025)

SECTION 3 — THE GOVERNANCE FAILURE: A TIMELINE

Gavin Sorochan: Financial modelling and governance analysis

The contributing factor is governance, discipline, and the long-term retention of public wealth. For decades, Alberta governments reduced the mandatory contribution rate from 30% (1976) to 15% (1983) and eliminated it entirely in 1987. They chose short-term spending over long-term compounding during every major surplus period — forgoing hundreds of billions in compound returns.

Shibanima Knibbs: Government of Alberta official data — Budget 2025; Heritage Fund reports; CBC News year-end fiscal reports

The pattern continued through the most recent surplus cycle. Between 2021 and 2025, Alberta posted four consecutive surpluses totaling over $28 billion. In the same period, AISH benefits were cut, de-indexed, and clawed back — while $5.6 billion was deposited into the Heritage

Fund and $1.2 billion per year was permanently foregone through the new 8% income tax bracket.

Year / Decision	Surplus / Fund Action	AISH / Disability Impact
1976 — Heritage Fund created	30% of resource revenue mandated	Capacity to fund disability programs built into founding intent
1983 — Contribution rate halved	15% — reduced by legislation	Decades of foregone compounding begin
1987 — Contributions eliminated	Zero mandatory saving from resource revenues	Structural capacity permanently foregone
2021-22 — $3.9B surplus	$753M to Heritage Fund	AISH still de-indexed since 2019
2022-23 — $11.5B surplus	$753M to Heritage Fund	Partial re-indexation begins; CDB clawback planned
2023-24 — $4.3B surplus	$2B to Heritage Fund	No AISH increase beyond 2%; CDB clawback planned
2024-25 — $8.3B surplus	$2.8B to Heritage Fund; $1.2B/yr tax cut	AISH cut $49M; CDB clawback implemented; housing rent raised 63%
2025-26 — deficit projected	No Heritage Fund deposit planned	ADAP transition — $200/month base cut; appeal rights removed

Sources: CBC News — Alberta year-end fiscal reports 2021-22 through 2024-25; Government of Alberta Budget 2025; Heritage Fund Q3 2025-26 Report; Fraser Institute.

THE PATTERN — GAVIN SOROCHAN AND SHIBANIMA KNIBBS, COMBINED ANALYSIS:
When there was surplus revenue, the government chose to cut income taxes permanently and grow the Heritage Fund. When that tax cut contributed to projected deficits, it chose to cut disability income, homelessness funding, and advocacy organization contracts. The people who benefited from the income tax cut are not the people losing their AISH benefits.

SECTION 4 — THE COST OF SUPPORT VS. THE COST OF CRISIS

Gavin Sorochan: Destabilization cost modelling — per-person annual system costs when disability income fails

Cutting disability income does not eliminate costs. It transfers them into publicly funded systems at a higher total per person — healthcare, shelter, policing, courts, and incarceration. The arithmetic is direct.

Shibanima Knibbs: Government program data — End Homelessness Edmonton, Alberta Doctors' Digest, Budget 2025

Alberta's ED psychiatric visits increased 47% before the ADAP transition has even begun. The government is spending $22 million to administer cutting $49 million — a net saving of $27 million before any downstream cost is counted. The Heritage Fund grew $383 million in the same quarter.

Cost Scenario	Annual Cost Per Person	Attribution
AISH support — person remains housed and stable	$20,772 (avg. benefit paid)	Knibbs — Gov. of Alberta data
Person experiencing homelessness — emergency shelter + services	$55,000/year	Knibbs — End Homelessness Edmonton
Additional cost per person who loses housing	$34,228 MORE than AISH	Knibbs — Calgary Housing First evaluation
Psychiatric crisis — ED visit (Alberta estimate)	$1,000–$3,000+ per visit	Knibbs — Alberta Doctors' Digest
ED psychiatric visits — Alberta (documented increase)	Up 47% before ADAP begins	Knibbs — Alberta Doctors' Digest, Nov/Dec 2025
Healthcare — emergency and high-need utilization	$10,000–$30,000/year	Sorochan — destabilization model
Emergency response and policing interactions	$10,000–$35,000/year	Sorochan — destabilization model
Courts and legal processing	$3,000–$10,000/year	Sorochan — destabilization model
Provincial incarceration when applicable	$60,000–$80,000/year	Sorochan — destabilization model
Child welfare — disabled single parent destabilized	$80,000–$250,000+/year per child	Knibbs — documented program costs
Full destabilization range — without incarceration	$33,000–$100,000/year	Sorochan — combined model
Full destabilization range — with incarceration	$93,000–$180,000/year	Sorochan — combined model

THE ARITHMETIC — SOROCHAN MODELLING + KNIBBS DOCUMENTATION:
$20,772 for stability. $33,000–$180,000 for crisis. If reduced AISH income pushes even 1,540 recipients into homelessness — less than 2% of the caseload — the downstream cost exceeds the entire $49 million AISH cut. The government is not saving money. It is deferring and expanding costs into other publicly funded systems.

— Gavin Sorochan + Shibanima Knibbs

SECTION 5 — WHAT THE FUND WAS BUILT FOR

The Heritage Savings Trust Fund Act (1976) states three founding objectives. The third — "to improve the quality of life of Albertans" — was not decorative. It was legislated. The mandate exists in law today.

Gavin Sorochan: Sovereign fund capacity modelling — Conservative estimate

Under a disciplined model, the Heritage Fund would generate $9 billion or more annually at a 3% draw rate. Fully funding AISH would consume less than 18% of that yield. The remaining capacity would support a universal baseline benefit for all Albertans — consistent with Lougheed's founding intent and Alaska's current model, which pays every resident approximately $2,400 CAD per year.

Shibanima Knibbs: Government of Alberta official data — Heritage Fund Q3 2025-26 Report; Budget 2025; ministerial orders

The government deposited $2.8 billion into the Heritage Fund from the 2024-25 surplus in the same period it clawed back $190 million/year from disabled Albertans, cut AISH by $49 million, raised community housing rent 63% by ministerial order, and removed independent appeal rights from 79,000 severely disabled people.

> Alaska created its Permanent Fund the same year as Alberta's Heritage Fund — 1976. Alaska's fund now pays every resident approximately $2,400 CAD per year in annual dividends.
>
> Alberta's fund generates under $1 billion annually at 3%, and the government used the most recent surplus not to improve disability income but to deposit $2.8 billion into savings while simultaneously clawing back $190 million/year from its most vulnerable residents.
>
> — Sorochan modelling + Knibbs documentation

CONCLUSION — THIS IS A CHOICE, NOT A NECESSITY

Gavin Sorochan's modelling establishes what Alberta could have built with disciplined sovereign fund governance. **Shibanima Knibbs's documentation** establishes what Alberta actually did with the wealth it generated. The gap between them is not explained by equalization, pipelines, or Canadian fiscal constraints. It is explained by governance choices — made decade after decade — to spend rather than save, to cut rather than retain, and when the consequences arrived, to locate the cost not in the system that produced the failure but in the population least able to resist it.

79,000 severely disabled Albertans are being asked to absorb the cost of fifty years of fiscal short-termism. They did not create the Heritage Fund's inadequacy. They are not responsible for the governance failures that kept it at $31.9 billion when it should be at $300 billion or more. They are the population most harmed by those failures — and the population now being asked to pay for them.

THIS IS NOT ABOUT AFFORDABILITY.

AISH costs $1.641 billion annually. The Heritage Fund grew $383 million in a single quarter. The total three-year AISH cut is $77 million — less than 20% of one quarter's fund growth.

The issue is not cost. The issue is priority. And this government's priority is documented.

— Gavin Sorochan + Shibanima Chantal Knibbs — April 2026

Gavin Sorochan

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